

India: A Roaring Tiger or Lumbering Elephant?

Corrections do not negate the unequivocal benefits that accrue from a rising stock market—drop in cost of equity capital and shift in household savings to financial assets

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BOTH SAURABH AND NANDITA studied economics at a postgraduate level. As they were doing so, they came across a body of literature on the Indian economy that either sees India as a broken economy or as a shining exemplar, a country on the ascent. They do not believe that such polarised accounts do justice to the multifaceted nature of change playing out in 21st century India. To be specific, there are three different dimensions of change that they feel are neglected:

Two steps forward, one step back: No free-market democracy moves forward in a linear fashion. Periods of growth are typically followed by periods of hardship. Part of this is due to the economic cycle, wherein periods of expansion typically result in rising inflation, as demand outstrips supply sooner or later. That is then countered by policymakers by hikes in interest rates which then slow down the economy. If these rate hikes continue for an extended period and are accompanied by other shocks, e.g. rising oil prices, then the economy often enters a period of low growth or contraction.

However, the other reason free market democracies go forward two steps and then go back a step is because vested interests step in to arrest the advance of the econ-



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omy if things are not playing out in their favour. So, for example, Japan's unprecedented burst of economic growth in the 40 years following the end of World War II was brought to an end by the Plaza Accord of 1985, which signalled the beginning of an extended period of the yen appreciation relative to the US dollar (46% appreciation in real effective terms by the end of 1986 itself). American manufacturers had prevailed upon the Republican government to engineer this intervention which helped arrest the rise of highly efficient Japanese companies like Toyota, Honda, Sony and Panasonic. The sustained appreciation of the yen in the face of American coercion ultimately pushed Japan into a 20-year period of economic stagnation.

Similarly, the ongoing bull run in the Indian stock market is entering its fifth year with the BSE500 having more than tripled from its April 2002 low of 10,527. As much as 33% of annualised returns over more than four years have brought more than 120 million new retail investors into the market. Given that only 80 million people file personal income tax returns, it is all but certain that many newcomers are low-income earners who are likely see much of their life's savings wiped out in the correction that tends to follow such breathless rallies. However, that correction do NOT negate the unequivocal benefits that accrue to the